

How to Calculate Michigan Transfer Taxes

If your client asked you how much she should expect to pay in transfer taxes, would you have an answer? ("Beats me" is not an option.)

Let's take a brief look at transfer taxes, their purpose, and how they are calculated in Michigan.

Transfer tax is a tax that is applied whenever real property is sold or transferred. Customarily, this tax is paid by the seller, but this is negotiable within the contract, and with some bank-owned properties, the lender may insist that the buyer pay the transfer tax.

Computing real property transfer taxes is something you should learn to do. Transfer taxes vary by state, and within each state. This tax applies at the county levels, but some cities may impose a transfer tax, as well.

In Michigan, the transfer tax rate in most counties is **\$8.60 per \$1,000** of sales price, but it's normally expressed as \$4.30 per \$500, because any portion of \$500 of the sale price, rounded up, incurs the tax. So a property that sold for \$300,000 would have a \$2,580 ($300 \times \$8.60$) transfer tax. A property that sold for \$300,350 would have a transfer tax of \$2,584.30 [$(300 \times \$8.60) + \4.30].

Which entity receives this transfer tax? The state receives \$7.50 per \$1,000 and the county where the property is located receives \$1.10 per \$1,000. So, in our \$300,000 example:

- The state would receive \$2,250 because $7.50 \times 300 = \$2,250$
- The county would receive \$330 because $1.10 \times 300 = \$330$

Counties with greater than 2,000,000 in population may charge more for the county portion. The state still receives \$7.50 per \$1,000, but the county would receive \$1.50 per \$1,000. This makes the total tax rate \$9.00 per \$1,000, or \$4.50 per \$500. The transfer tax is usually collected from the payee at closing and is paid to the state and the county clerk in the county where the deed is recorded.